The Judicial Arms Race: Courts, Corporations, and Competitive Federalism in the United States

The London School of Economics and Political Science

Department of Government

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Nima Movahedi

Abstract

For over two centuries, Delaware's dominance of the American corporate-charter market has rested on a specialized judiciary whose independence and predictability secured elite confidence. Between 2023 and 2024, a series of Delaware Court of Chancery rulings unsettled that confidence, triggering a wave of high-profile reincorporations known as "DExit" and opening the market to challengers for the first time. This dissertation examines the interstate competition that followed, arguing that it marks a distinct form of competitive federalism in which the design of judicial institutions has itself become an instrument of economic competition. Through a structured, focused comparison of Delaware, Texas, and Nevada, and process tracing organized around a four-stage feedback cycle, the study reconstructs how litigation shocks, corporate exit threats, and law-firm signaling drove each state to redesign its courts and corporate codes. It finds that although the three states pursued divergent strategies, they converged on a common outcome: reduced accountability, narrowed liability, and judicial oversight tailored to corporate demand. This convergence, the study argues, breaks the self-correcting logic that competitive-federalism theory presumes – producing a process less symbiotic than parasitic.

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List of Abbreviations

AB 239	Assembly Bill 239 (Nevada)
ABA	American Bar Association
AJR 8	Assembly Joint Resolution 8 (Nevada)
BJR	Business Judgment Rule
C-suite	Chief/senior executive officers (CEO, CFO, etc.)
DE	Delaware
DExit	Delaware Exit
DGCL	Delaware General Corporation Law
HB 19	House Bill 19 (Texas)
HB 40	House Bill 40 (Texas)
IP	Intellectual Property
IPO	Initial Public Offering
LLP	Limited Liability Partnership
M&A	Mergers and Acquisitions
NV	Nevada
SB 21	Senate Bill 21 (Delaware)
SB 29	Senate Bill 29 (Texas)
SB 313	Senate Bill 313 (Delaware)
TX	Texas
TBC	Texas Business Courts
VC	Venture Capital

1. Introduction

0.3% of Americans reside there; 68% of Fortune 500 companies incorporate there (Kennedys, 2025). Delaware's outsized influence over American corporate governance has long been treated as an institutional curiosity, its success often credited to the Delaware Court of Chancery: a specialized tribunal devoted to business and corporate disputes. Drawing on an English equity tradition that dispenses juries and prioritizes speed, efficiency, and calculability in commercial matters, the Chancery Court has cultivated a distinctive legal ecosystem defined by predictability and judicial expertise (Quillen & Hanrahan, 1993). Anchored by more than two centuries of accumulated case law, this system has allowed Delaware to dominate corporate incorporation, generate billions in tax revenue, and secure a reputation as "the most business-friendly state in America" (Business First Steps, 2019). This dominance fractured between 2023 and 2024, when a series of controversial rulings unsettled the very predictability that had long distinguished Delaware. The reaction crystallized into "DExit", shorthand for "Delaware Exit", as prominent executives, corporate advisers, and elite law firms voiced their discontent and began signaling interest in alternative venues. Sensing an opening, Texas and Nevada moved swiftly to redesign their legal architectures and capture these newly mobile corporations, pressuring Delaware to adjust its own frameworks in turn. The three states thus entered an unprecedented competitive cycle, each racing to convert its statutes and public judicial systems into more attractive infrastructure for out-of-state capital.

This dissertation argues that the ongoing contest across Delaware, Texas, and Nevada represents more than a new wave of corporate reincorporations: it marks the emergence of a distinct form of competitive federalism in which the design of legal institutions has itself become a primary frontier of interstate economic competition. Whereas states have

historically competed for corporate charters by adjusting their statutory codes, the current cycle couples aggressive reform with a novel second front: the redesign of courts. Judicial infrastructure, long understood as insulated from external pressure, is now being reshaped and deployed as an instrument of that competition. To examine this phenomenon, the dissertation employs process tracing to reconstruct the causal mechanisms linking litigation shocks, elite signaling, and state institutional reform, organized around a four-stage competitive feedback cycle and traced chronologically rather than state-by-state. In doing so, it tests the race-to-the-bottom and race-to-the-top hypotheses – previously tested only within statutory competition – in a new context: competition over the judicial institutions themselves. The findings suggest that although the three states pursue divergent strategies, they converge on a shared outcome, and that the cycle renews rather than resolves. This convergence, the analysis suggests, breaks the self-correcting logic on which competitive federalism depends, threatening judicial independence, democratic accountability, and institutional trust.

2. Theoretical Framework

2.1 The Logic of Competitive Federalism

Within the intersection of competition, the rivalry to win, and federalism, a system of governance that divides power between central and subnational authorities, comes the operationalization of ‘competitive federalism’: the “intellectual construction [of] governance within an openly competitive approach to processes of social organization” (Wagner, 2001). The theoretical foundations of this concept most directly trace to Charles Tiebout’s 1956 theory ‘voting with their feet’, in which jurisdictional competition and decentralized governance produce self-correcting

mechanisms for “the optimal level of public goods” (Tiebout, 1956). This localized autonomy allows for what Tiebout characterized as an ‘exit’: citizens dissatisfied with their jurisdiction's policy environment can relocate to one that better matches their preferences, imposing competitive pressure on governments to adapt or risk losing their constituency. Albert Hirschman expanded the framework of exit by introducing the option of ‘voice’, arguing that when loyalty or the costs of departure are sufficiently high, actors may press for reform by threatening to exit (Hirschman, 1980). Together, Tiebout and Hirschman established the foundational calculation that actors within a competitive federal system must constantly consider: leave, stay, or leverage the possibility of departure to demand change.

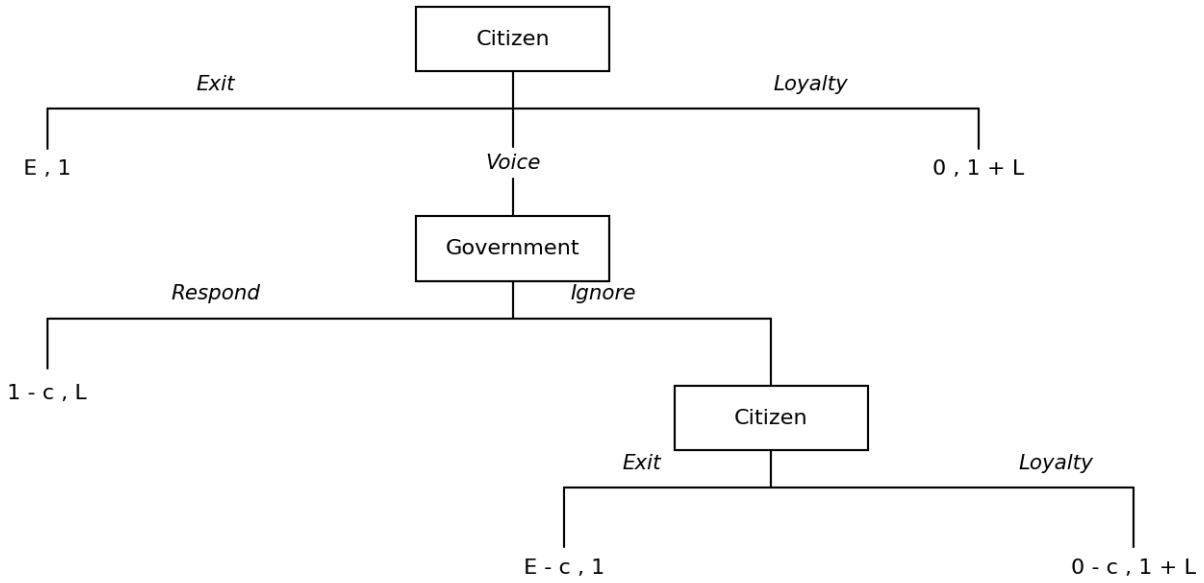


Figure 1. Exit, Voice, Loyalty, Neglect (EVLN) game in extensive form. Terminal payoffs are shown as (citizen, government); E denotes the value of exit, c the cost of voice, and L the loyalty payoff.

The United States, whose transition from British colonial rule to a weak confederation and, finally, to a federal republic, has evolved into a particularly fertile ground for competitive federalism. The philosophy of “keeping the federal government on a short, limited-government leash” became a central covenant of American governance, dictating the broad freedoms that state and local institutions have historically enjoyed (Shannon & Kee, 1989). Wallace Oates’s 1972

decentralization theorem justified this arrangement, arguing “the central [government] is unresponsive to preference heterogeneity and thereby is only able to implement uniform policies” (Koethenbuerger, 2008). This principle is dogmatic, with broad powers passed to state authorities. By the late 1970s, the decentralization theorem and new fiscal pressures saw competitive federalism in the U.S. expand “both vertically, between levels of government, and horizontally, among governments at the same level…[leading to a] fend-for-yourself fiscal environment" (Shannon & Kee, 1989). Weingast explained this as ‘market-preserving federalism’, where “the absence of debilitating regulatory intervention… limited government…and hard budget constraint” creates a fragmented ecosystem dedicated to maximizing market growth. Implicit throughout competitive federalism is the conviction that subnational units should be entrusted to ‘self-regulate’; yet a system that rewards states for redesigning laws and institutions to maximize capital often fails to distinguish among the services and safeguards affected (Weingast, 1995).

2.2 The Race-to-bottom Debate

The 'race to the bottom' hypothesis emerges from this tension: the scholarly debate that the drive for a competitive edge leads to destructive spillover effects. Deaton characterizes this phenomenon as a spiral in which authorities “engage in a competitive lowering of standards…in order to attract foreign investment” (Deaton, 2020). Thus, the very institutional and regulatory standards that sustain a prosperous, competitive ecosystem risk erosion. Within the United States, known for a particularly fierce competitive environment, scholars have argued that race is particularly salient with high incentives to reduce standards in the pursuit of capital. Justice Louis Brandeis of the U.S. Supreme Court warned of such dynamics, writing in his 1933 dissent in Liggett Co v. Lee, “states eager for the revenue derived from…activities of business corporations…remove safeguards…[beginning a] race…not of diligence, but of laxity” (Liggett

Co. v. Lee, 1933). Subsequent empirical research into the race to the bottom has substantiated a complex landscape consistent with Justice Brandeis's prediction, with subnational governments competing to attract capital by lowering their standards across policy domains. In welfare policy, Volden found that "state decision makers weigh the actions of their neighbors…[and that] competition has the negative effect of leading each state to provide lower welfare benefits than it would in isolation" (Volden, 2002). The same downward pressures influence environmental regulation standards, where Woods identified that "in response to economic pressures emanating from competitor states…most American states have enacted…legislation designed to constrain the ability of state environmental regulators to exceed minimum standards established in federal law" (Woods, 2021). Examining the impacts of this competitive logic, Cassell and Turner observed that when economically distressed localities in Ohio undercut their neighbors with increased tax abatements, aiming to "be successful in attracting investment…communities will [regardless of investments] lose the fiscal benefits of economic development" (Cassell & Turner, 2010). Across welfare, taxation, and environmental policy, a consistent empirical pattern suggests that competitive federalism in the U.S. drives subnational actors to reduce their standards. Yet, as Costa-Font et al. caution, these dynamics are not uniform; they are shaped by specific "political incentives and institutional constraints" (Costa-Font et al., 2015). The race to the bottom, in other words, is conditional: its salience depends on the domain of competition, the institutional context governing it, and the mechanisms at work.

Within the realm of corporate law specifically, William Cary pioneered the theory that Delaware's dominance rested less on superior legal services but on a "deterioration of corporate standards…[being both] the sponsor and the victim of this unhappy denouement" (Cary, 1974). Cary argued Delaware's successful utilization of lax regulations constituted more comprehensive

federal reforms. Objecting to this conclusion, Ralph Winter advanced that regulatory competition produces "a race to the top, where corporations are economically incentivized to charter themselves in states providing legal regimes… to maximize shareholder value" (Winter, 1977). This disagreement founded the "Cary-Winter debate", sparking a wave of studies analyzing the effects of competitive state corporate laws. Romano systematized the Cary-Winter debate by arguing Delaware's success, contingent on maintaining the most efficient frameworks, relies on self-correcting mechanisms to maintain optimal ecosystems (Romano, 1993). Yet both poles share a defining limitation. The race-to-the-bottom and race-to-the-top hypotheses alike have been examined almost exclusively within the domain of statutory competition: where states adjust their legislative codes while courts remain neutral interpreters. Neither has analyzed what occurs when competition extends to the reorientation of the judicial institutions themselves. As Delaware, Texas, and Nevada have begun restructuring their courts to compete for corporate capital, a new venue for adjudicating these rival hypotheses has emerged that the existing literature has yet to measure.

2.3 Judicial Independence and Institutional Design

Legal and institutional design scholarship has long recognized the role courts play in shaping economic activity. Weber's Sociology of Law traced capitalist development to "rationalization and legal formalism": a legal order built on consistency, predictability, and insulation from external pressures (Trubek, 1972). La Porta et al. provided empirical support for a link between economic success and legal foundations, observing a correlation between investor trust, judicial processes, and market growth (La Porta et al., 1998). Hamilton's Federalist No. 78 and the design of the U.S. Constitution shared this premise: that "so long as the judiciary remains truly distinct from both the legislature and the executive", confidence in the system would remain (Hamilton, 1788).

Transitioning states in Central and Eastern Europe reformed their courts with the same conviction: that a credible, consistent, and independent judiciary is necessary for prosperity (Cheesman & Badó, 2023). Yet while this literature examines how and why nations reform courts to enhance credibility, the phenomenon of subnational competition driving the reorientation of courts remains largely unstudied. Within the United States, the relationship between judicial independence and political pressures has generated its own body of literature. Burbank argues that judicial independence is not binary but exists on a spectrum, shaped by a mixture of institutional mechanisms that define the judiciary's autonomy from political branches of government (Burbank, 2019). This characterization is salient, as the variance of governance between U.S. states creates unique dimensions of institutional dynamics. Hanssen investigated whether "there is an optimal level of judicial independence", and how the strategic selection of judges affects the American political economy (Hanssen, 2004). He argued non-partisan appointments reflect a rational choice states make, trading the benefits of politically aligned courts to mitigate the potential costs of institutional anxieties. Klerman and Mahoney empirically grounded the validity of this calculus, finding that systems entrenched with judicial independence correlate with stronger economic growth, consistent with La Porta et al. (Klerman & Mahoney, 2004).

Across scholarship, however, the threat to judicial independence has always been undesired external reactions; the deliberate subordination of judicial independence to satisfy external demands presents an understudied dynamic. This omission is largely a reflection of how most federal systems maintain highly centralized and uniform judiciaries despite decentralized governance: Bender et al. note the uniformity German courts preserve and value for consistency (Bender, 2023); Robinson shows how Indian state courts, though regionally autonomous, sit within an integrated hierarchy (Robinson, 2014). As distrust for central authority deeply

influenced American independence, the U.S. Constitution declined to impose similar legal or normative constraints. Rather, the Tenth Amendment transferred all "powers not delegated…by the Constitution…are reserved to the States respectively" (U.S. Const. amend. X). Consequently, states have enjoyed broad freedoms to design court structures, rules, and appointments as they see fit. This latitude gave rise to forum shopping, where litigants can select a "court that will treat their claim most favorably", becoming, as the American Bar Association characterizes, "widespread in practice, and quintessentially American in design" (Legal Information Institute, 2022). Forum shopping, as traditionally understood, is a litigant-driven and demand-side phenomenon: private actors select a venue given a choice between fixed institutional structures.

What Delaware, Texas, and Nevada now practice can be more accurately defined as "forum creation": states themselves become the strategic actors, redesigning the venues rather than merely being chosen among them. This inversion marks a qualitative shift from past competitive practices, generating new pressures on judicial independence and institutional design theory. What remains absent from the competitive federalism, corporate law, and judicial design literatures is a unified account of this transformation: one that examines courts not solely as neutral forums for impartial adjudication, but as institutional levers that subnational states can strategically redesign to attract capital. By reconceptualizing judicial systems as instruments of interstate economic competition, this dissertation addresses a gap at the intersection of three established bodies of literature, none of which has fully captured the phenomenon now unfolding across Delaware, Texas, and Nevada. The following section outlines the case selection and methodology used to empirically examine this claim.

3. Methodology

This dissertation employs a comparative historical-institutional analysis structured by process tracing to reconstruct the causal mechanisms linking litigation shocks to statutory and judicial reform across three U.S. states. This design serves two purposes: to demonstrate that recent institutional reforms were observably motivated by competitive pressures rather than coincidental; and to identify the distinct strategies through which states have responded to the same disruption. By tracing the institutional redesign across Delaware, Texas, and Nevada, the study evaluates whether these developments constitute a new dimension of American competitive federalism: one in which legal environments themselves become instruments of interstate economic competition.

3.1 Case Selection

The analysis rests on the purposive selection of Delaware, Texas, and Nevada. These three are not a sample drawn from the fifty states but effectively the population of meaningful competitors in the contemporary corporate-charter market. Delaware holds the incumbent's dominant share, and Texas and Nevada are the only states to have answered its recent disruption with substantial institutional and statutory redesign. Other states, among them Wyoming, South Dakota, North Carolina, Utah, and Florida, have revised their corporate codes or signaled pro-business ambitions, but none has redesigned its judicial architecture or matched the aggression of these three: a difference in kind, not degree, that places them beyond the scope of comparison. (Ellinger-Locke, 2026). These cases capture the phenomenon's full strategic range: Delaware's loss of dominance establishes the precondition that initiates the feedback cycle, while Texas's and Nevada's diverging modes of challenge illustrate responses to that disruption, allowing the design to hold the triggering shock constant while varying the strategy adopted in reply.

3.2 Research Design

The study employs process tracing within a structured, focused comparison of three cases. Its aim is explanatory rather than predictive: to reconstruct a sufficient account of a specific, bounded outcome: the emergence, and subsequent renewal, of interstate competition over judicial design across Delaware, Texas, and Nevada. The design does not treat three interrelated cases as a basis for claims about how competition behaves everywhere; rather, it aims to establish that the reforms were driven by competitive pressures rather than coincidence, and that their distinct strategies reflect each state's commitment. The analysis organizes around a four-stage competitive feedback cycle: competitive disruption, elite signaling, challenger emergence, and defensive response.

Table 1. Analytical stages of the competitive cycle: description and states examined

Stage	Description	State(s) examined
I. Competitive Disruption	Judicial or legislative shifts destabilize the equilibrium, eroding the predictability that had sustained the incumbent's dominance and deterred rivals.	Delaware (origin)
II. Elite Signaling	Corporations, executives, investors, and legal intermediaries turn dissatisfaction into public signals, broadcasting grievance and marking the incumbent as vulnerable.	Delaware (target)
III. Challengers Emerge	Rival jurisdictions read the opening and enact targeted reforms that redress the precipitating grievances, positioning to capture disaffected charter demand.	Texas & Nevada
IV. Defensive Response	The incumbent counters, refreshing its frameworks to recover its position; each countermove seeds the next disruption rather than settling the field.	Delaware, Texas & Nevada

The framework is informed by existing theory but refined through empirical observation. Process tracing supplies the within-case leverage a three-case comparison alone cannot. At each causal link, the analysis asks not merely whether reform followed disruption, but how to analyze the intervening evidence and its particular weight. Three implications are particularly salient: the

timing of each reform relative to the disruption and rival state reactions; the competitive justifications implicitly and explicitly communicated by politicians and their accompanying legislation; and the substantive correspondence between reforms and key grievances responsible for the disruption. Crucially, the cycle is theorized as self-sustaining rather than self-correcting: a defensive response at Stage IV does not restore the prior equilibrium, but reenters the field as a fresh disruption, prompting renewed elite evaluation and further reform.

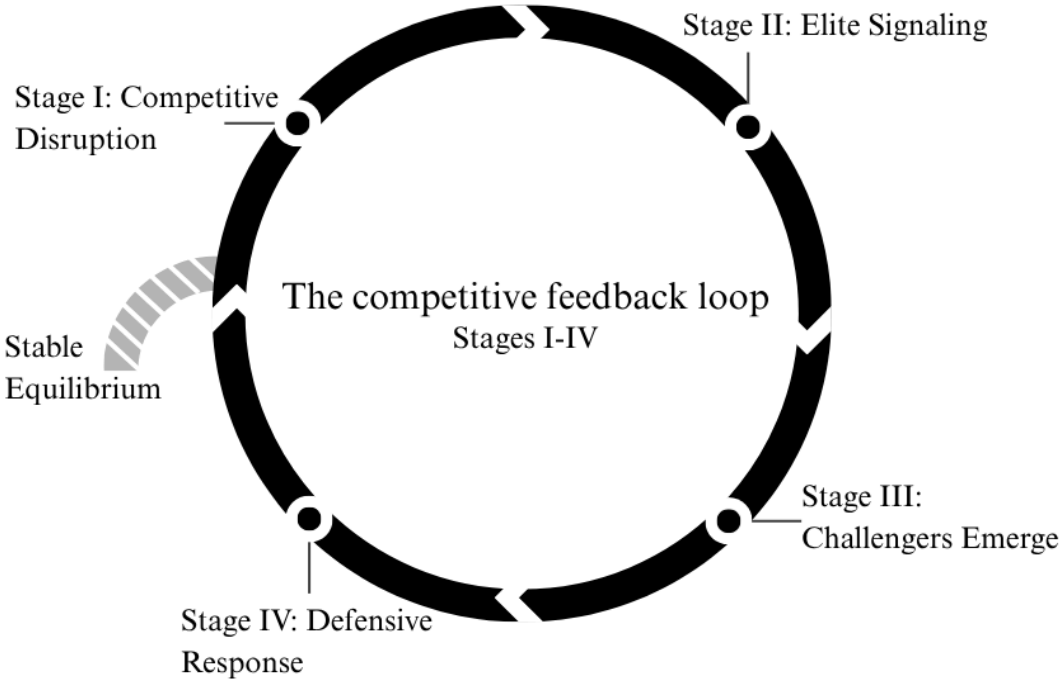


Figure 2. The competitive feedback loop (Stages I–IV). The cycle begins from a stable equilibrium (dashed segment) and, once disrupted, becomes self-reinforcing: Stage I (Competitive Disruption) triggers Stage II (Elite Signaling), which prompts Stage III (Challengers Emerge) that in turn provokes Stage IV (Defensive Response) – feeding back into renewed disruption rather than a stable equilibrium.

So long as reincorporation remains credible, capital remains mobile and institutional variation persists across jurisdictions, this framework has no terminus. Whether it ultimately resolves via a new stabilizing equilibrium, federal intervention, or market correction lies beyond this study's concern with the cycle's initiation and proliferation. Consequently, the following empirical

chapters proceed chronologically rather than by state-by-state: sequencing by stage to keep the causal chain visible and its mechanisms legible.

3.3 Evidentiary Sources and Empirical Tools

This study draws on a range of evidentiary sources to construct a causal chain from competitive disruptions to institutional reform across all four stages of the competitive feedback cycle.

Table 2. Analytical stages of the competitive cycle: primary sources and function

Stage	Primary Sources	Function
I. Competitive Disruption	Delaware Court of Chancery opinions (six landmark rulings between 2023 to 2024)	Establishes the judicial shifts that destabilized the equilibrium
II. Elite Signaling	Reincorporation statements; press interviews; corporate/government communications; client advisories and memoranda from elite law firms	Traces the transmission of competitive pressures from corporations to states
III. Challengers Emerge	State legislation (SB 29, HB 40, AB 239, AJR 8); committee records; law firm analyses of enacted reforms	Documents how competitive pressures guide institutional and statutory redesign
IV. Defensive Response	State legislation (SB 313, SB 21); gubernatorial communications; academic testimony; law firm evaluations of Delaware's reform	Follows the incumbent's reactive institutional adjustments and their reception

These sources are triangulated rather than read in isolation: statutory text establishes what changes; legislative records provide the rationale for a change; law-firm advisories establish how sophisticated third parties received it. Convergence across these independent sources licenses the inferences drawn in the chapters that follow. Running parallel to each stage, the advisory tone of four elite law firms is tracked across the cycle as a longitudinal thread, with its shifting characterizations of Delaware capturing how the discrete reforms were evaluated as the competition unfolded. The sources themselves are purposive rather than exhaustive, selected for their analytical relevance to the claims at issue.

4. Stage I: Competitive Disruption

The story of a new competitive federalism begins in Delaware, long treated as the unrivaled home for corporate governance. Rooted in the English tradition of equity, the Delaware Court of Chancery decides cases through expert judges rather than juries, eliminating verdict unpredictability and developing a deep body of case law. Drawing on the Delaware General Corporation Law, a century-old statute animated by a judicial philosophy of ‘enabling rather than restricting’, the court’s broad discretion lets it weigh complex corporate disputes and resolve them flexibly (DGCL Online). This latitude produced a “low-risk” judicial ecosystem: the absence of juries, streamlined procedure, and specialized jurists together sustained broad elite confidence in the state (Eldar & Magnolfi, 2026). And because franchise taxes and incorporation fees supply roughly a third of Delaware's general-fund revenue, the careful appointment of chancellors has been central to reinforcing that confidence and cementing the state's favorable political economy (Copeland, 2026).

In principle, other states could have mounted more meaningful competition by replicating or improving on this system. In practice, Delaware’s dominance sustained structural barriers that deterred any serious judicial competition. Its reputation generated powerful network effects: law firms, venture-capital advisors, investors, and executives familiar with Delaware had long advised it as the default, such that "by the mid-2000s, [Delaware] really had become the de facto standard" for incorporating a startup (Adeoye & Schwartz, 2021). As Kahan observed, a rival "that merely offers the same rules as Delaware with some marginal improvements cannot hope to attract many out-of-state incorporations," while genuine innovation carried its own risk, since the time required for a challenger to adopt reforms and for firms to respond would give Delaware "ample opportunity to react” (Kahan, 2023). Bebchuk and Hamdani characterized this trap as a "stalking

horse" equilibrium: a challenger bears the cost of institutional experimentation only for Delaware, insulated by its network effects, to absorb the successful innovations and retain its lead. Facing that prospect, rival states were rationally deterred from committing (Bebchuk & Hamdani, 2002).

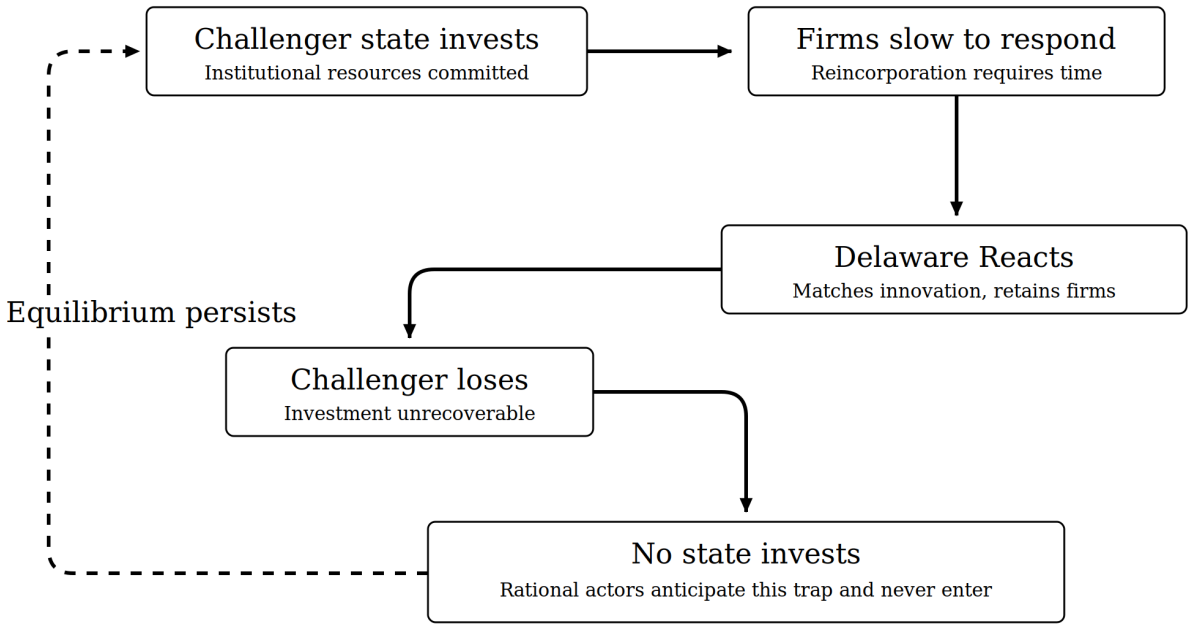


Figure 3. Delaware's "stalking horse" equilibrium. These dynamics deter rational actors from challenging, and the equilibrium persists.

The disruption, when it came, arose from a very feature that had secured its dominance. The discretion that lets Delaware's chancellors craft flexible, business-friendly case law equally allows them to reorient the court's posture according to their own jurisprudential priorities. On becoming Chancellor in 2021, Kathleen McCormick was seen to do exactly that. Proponents defended her rulings as a faithful application of fiduciary principles from which market practice, not the court, had drifted; critics saw an abrupt break from the predictable, deferential posture that precedent had led corporate actors to expect. Either way, the shift measurably altered how the corporate sector perceived Delaware as a place to do business. Between 2023 and 2024, six rulings in particular were read as breaking with settled expectations, unsettling Delaware's reputation for calculability and, with it, the stalking-horse equilibrium that had kept rivals at bay.

Table 3. Landmark Delaware Chancery Court Rulings (2023-2024)

Case	Date	Holding	Significance
McDonald's Corp. Derivative Litigation	Jan 2023	Extended personal liability to corporate officers (not just directors) who fail to address misconduct	Raised personal exposure for executives, alarming the C-suite
Tornetta v. Musk (Tesla compensation)	Jan 2024	Voided Musk's $56 billion pay package despite 2018 shareholder approval	Signaled heightened scrutiny of executive pay; drew Musk's public ire
Palkon v. Maffei (TripAdvisor exit)	Feb 2024	Blocked a Delaware exit pursued to secure weaker oversight	Made departure harder, deepening frustration among firms weighing exit
AP-Fonden v. Activision Blizzard	Feb 2024	Permitted a challenge to Microsoft's $68.7 billion Activision acquisition over technical disclosure defects	Recast a routine M&A practice as a hard compliance line
West Palm Beach Firefighters v. Moelis & Co.	Feb 2024	Struck down founder veto power over board decisions, requiring boards to retain control	Cast doubt on thousands of existing agreements, especially VC-backed & founder-led firms
Tornetta v. Musk (ratification denied)	Feb 2024	Rejected Tesla's bid to reinstate the $56 billion package by a second shareholder vote, despite overwhelming approval	Deepened frustration with the new Chancellor; Tesla ordered to pay $345 million in fees

5. Stage II: Elite Signaling

This corporate dissatisfaction catalyzed an unprecedented wave of elite resistance that came to be known as "DExit": Delaware Exit. As the McCormick court was seen to rule against long-settled practice, executives read the shift as inviting unacceptable unpredictability. High-profile firms and figures began publicly signaling both their dissatisfaction and intent to leave. Earlier decisions – Manti Holdings (2021), McDonald's (2023), and Walmart (2023) – had raised initial concern, but the movement's most visible impetus came within hours of the January 2024 Tesla compensation ruling (Weinstein et al., 2025). After Chancellor McCormick voided his pay package, Elon Musk took to X to urge his followers to "never incorporate your company in the state of Delaware," then ran a public poll on whether Tesla should reincorporate elsewhere, drawing 51.3 million views

and 87% support (Kolodny, 2024). Following a second defeat a month later, Musk escalated his grievances into a sustained public campaign against doing business in the state. Attention to "DExit" spiked in turn: media coverage of potential Delaware departures more than tripled, and Google searches for "Delaware incorporation" peaked.

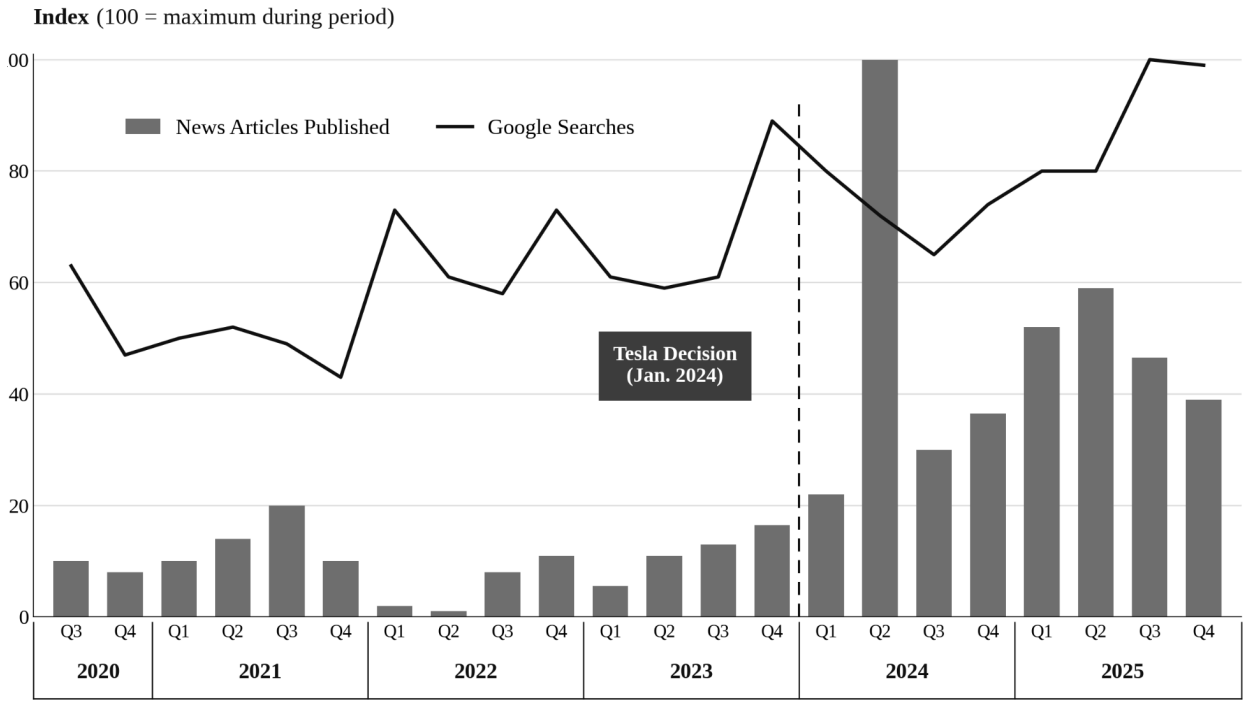


Figure 4. Media coverage and public interest in Delaware incorporation, Q3 2020–Q4 2025. Bars show quarterly volume of news articles; the line shows Google search interest, each indexed to 100 at its within-period maximum. The dashed marker denotes the Tornetta v. Musk ruling from January 2024.

Musk's campaign, amplified by further contested rulings, catalyzed a broader wave of corporations publicly signaling their discontent with Delaware's judicial environment. In announcing their departures, these firms denounced the Chancery Court's new posture and converged on a recurring set of grievances: a loss in predictability, increased liabilities, and excessive litigation. These three complaints recur across public exit statements and structure the corporate case against Delaware analyzed below.

Corporation	*Unpredict-ability*	*Increased Liabilities*	*Excessive Litigation*
Andreessen Horowitz	✓	✓	✓
Tesla, SpaceX, Neuralink	✓	✓	✓
Coinbase	✓		✓
Dropbox	✓		✓
Simon Property Group	✓		✓
MercadoLibre	✓		
Pershing Square		✓	
The Trade Desk	✓		
TripAdvisor		✓	
Trump Media		✓	
Corporations tabulated (n = 10)	**7**	**5**	**5**

Figure 5. Notable corporate exit signals and cited reasons, 2024–2025. Corporations are ordered by the breadth of grievances cited across three categories: unpredictability, increased liabilities, and excessive litigation.

Andreessen Horowitz's exit statement makes these grievances especially explicit, attributing the McCormick decisions as "injecting an unprecedented level of subjectivity into judicial decisions, undermining the court's reputation for unbiased expertise" (Ramaswamy et al., 2025). As the largest U.S. venture-capital firm, Andreessen Horowitz spoke directly to "the broader tech and VC communities," arguing that their "reluctance to leave Delaware, based in part on how investors will react, may be overblown." The statement's timing coincided with a Q3 2025 spike in searches for "Delaware reincorporation," suggesting the capacity of such signals to move both market practice and political discourse (Jetley & Mulford, 2026). Interest in this phenomenon, as Coinbase's chief legal officer stated in their own departure, came as the broader corporate world viewed Delaware as "no longer having a monopoly on corporate law" (Times of India, 2025).

These exit signals further operate on a second, less visible plane. Law firms, as the intermediaries advising nearly every reincorporation calculation, had long reinforced Delaware's dominance by presenting its judicial climate as the safest venue for corporate governance. From pre-IPO startups

to established multinationals, these firms are entrusted to interpret legal developments and counsel a response. Their client advisories, alerts, and memos illustrate a running record of how their evaluations and subsequent signals to their clients evolved amidst the shifting landscape.

Table 4. Advisory posture and tone toward Delaware, Pre-Disruption (Mar 2020 - Aug 2023)

Firm	Date	Trigger	Advisory Posture	Tone
Sullivan & Cromwell	Mar 2020	Corporate governance memo	Advocated to clients that Delaware "courts will not second-guess the directors' decision"	Optimistic
Wilson Sonsini	Jan 2022	Annual Delaware review	Praised the Chancery Court's "welcome flexibility and predictability" for private companies	Endorsing
Cooley	Feb 2022	State corporate charter amendment	Praised the legislature's responsiveness, anticipating "more Delaware corporations will consider" the venue	Endorsing
Gibson Dunn	Feb 2023	McDonald's officer liability ruling	Downplayed the decision as "unlikely to change derivative litigation materially"	Reassuring
Gibson Dunn	Aug 2023	Mid-year litigation review	Acknowledged a "merger tax of deal litigation" but judged it offset by other improvements	Reassuring

This uniformly favorable posture, which had characterized Delaware for decades, gave way to skepticism and then open disapproval over the course of 2024. Observing a court that increasingly departed from what firms took to be prevailing market practice, advisories revised their language to reflect a growing distrust. Because these documents are prepared for paying clients rather than public audiences, they offer a comparatively candid view of elite judgment as it evolved. The resulting progression, from advocacy, to caution, to denunciation, traces the swift erosion of the institutional confidence on which Delaware's dominance had rested.

Table 5. Advisory posture and tone toward Delaware, Post-Disruption (Jan-Jul 2024)

Firm	Date	Trigger	Advisory Posture	Tone
Gibson Dunn	Feb 2024	Tornetta v. Musk ($56B voided)	Advised clients to "expect extra scrutiny of independent directors," while suggesting the ruling might prove specific to Tesla	Bracing
Sullivan & Cromwell	Feb 2024	Palkon v. Maffei (TripAdvisor exit)	Warned that "time will tell if… new hurdles associated with exiting Delaware will affect [its] position as jurisdiction of choice"	Warning
Sullivan & Cromwell	Feb 2024	Sears Hometown controller ruling	Cautioned that expanded controller duties "may increase the volume of litigation" and more "litigation surviving a motion to dismiss"	Warning
Cooley	Apr 2024	Moelis & Sjunde rulings	Framed rulings as casting "doubt on M&A practices," arguing Delaware's "long-standing acceptance…doesn't offer any protection"	Alarmed
Wilson Sonsini	Jul 2024	Analysis of McCormick-era rulings	Described recent decisions as "inconsistent with prevailing market practice" and distrusted the trajectory of Delaware litigation	Alarmed

Taken together, the signaling that followed the McCormick court operated on two parallel planes: a public one, through reincorporations and executive statements, and a private one, through firms' characterizations of the litigation climate. The former generated political pressure and adverse media attention; the latter eroded the legal confidence on which Delaware's network effects depended. Thus, the stalking-horse equilibrium that had deterred rival states dissolved.

6. Stage III: Challengers Emerge

The collapse of Delaware's status as the undisputed venue for corporate governance opened the field to new challengers. The structural barriers that its institutional credibility had long sustained were, for the first time, eroding, just as demand for alternatives was rising. Texas and Nevada recognized this opening and moved to exploit it before Delaware could reassert control. Responding to the same grievances that had driven corporations out of Delaware, the two states redesigned their judicial institutions and statutory frameworks around the new market demand.

6.1 Texas: The Institutional Challenger

Texas's ambition to capture corporate charters through judicial redesign long predated DExit. For over fifteen years, the state's business bar had unsuccessfully lobbied for a specialized business court, failing in every session to overcome objections that such courts would "create a two-tiered judicial system" where business litigants could enjoy "superior technical and administrative resources" unavailable elsewhere (Texans for Lawsuit Reform Foundation, 2021). By 2022, however, a convergence of political pressures pushed the state to consider competing with "Delaware, New York, and other states to attract major corporate litigation" (Brown, 2025). Facing a competitive gubernatorial race, Governor Abbott took up corporate calls to overhaul the state's judicial institutions; backed by a unified Republican legislature, Abbott signed House Bill 19, creating Texas Business Courts (TBC), into law in June 2023 (Klibanoff, 2025).

Although the TBCs mirrored the structure of Delaware's Chancery Court, they drew broad skepticism and little early interest. Law firms distrusted their "procedural uncertainties and narrow jurisdiction," doubting whether the "new business court would survive infancy" (Brown, 2025). That perception was overtaken by the explosion of DExit. Notably, when Abbott invited Musk in April 2022 to "bring Twitter to Texas to join Tesla, SpaceX & the Boring Company," his overture went nowhere, as Delaware's dominance still held (Huber, 2022). By 2024, what changed was not Abbott's pitch but the ground beneath it. After the Tornetta ruling, Abbott's renewed welcome landed differently: within weeks, Musk filed to reincorporate SpaceX in Texas. Representative Jeff Leach, a co-author of HB 19, joined Abbott in casting SpaceX's arrival as proof that the specialized courts had given Texas a first-mover advantage (Debelak & Brien, 2023). Musk's public defection generated the political momentum and national attention that, over the following eighteen months, drove an institutional and statutory overhaul in two rapid phases.

The first phase arrived with Senate Bill 29, signed in May 2025 after passing both chambers with bipartisan supermajorities (Foley, 2026). SB 29 targeted the specific grievances that had driven corporations out of Delaware; at its center was the statutory codification of the business judgment rule to reduce liability exposure and narrow eligibility of potential plaintiffs (Bradley, 2025). As Lieutenant Governor Dan Patrick framed it, the reform was critical to persuading "companies to incorporate in Texas instead of Delaware", further "cementing Texas's predictable legal framework for businesses" (Office of Lt. Governor, 2025).

Table 6. Texas SB 29 – Key Provisions and Competitive Effects (May 2025)

Provision	Mechanism	Competitive significance
Statutory Business Judgment Rule	Statutory presumption of good faith; misconduct must be pled with particularity	Converts BJR from a judicial standard into a statutory shield; protects officers with heightened pleading bar
Raised Ownership Thresholds	Corporations may require up to 3% ownership to bring a derivative suit	Curbs 'gotcha litigation' drastically by narrowing the pool of eligible plaintiffs
Jury Trial Waivers	Permitted in certificates of formation or bylaws	Replicates Delaware's bench-trial advantage; improves predictability of outcomes
Books and Records Restrictions	Inspection rights exclude emails, texts, and social-media messages	Narrows pre-litigation discovery; forecloses electronic "fishing expeditions"
Interpretive Firewall	Texas business code cannot be displaced by other states' law	Insulates corporations from adverse out-of-state case law

Grievance Predictability Liability exposure Excessive litigation

Each provision maps onto a grievance from Stage I: predictability, officer liability, and excessive litigation. SB 29 thus was not a routine modernization of Texas corporate law but targeted a competitive response, engineered to make the state's legal framework a credible successor to Delaware's. Yet substantive reform meant little without a court capable of applying it credibly. Dismissed at their creation for narrow jurisdiction, procedural ambiguity, and experimental status, TBCs had to signal Texas's long-term commitment to the environment SB 29 promised. Weeks

after SB 29, the legislature moved to that second front with House Bill 40, aimed squarely at those weaknesses: consolidating the courts' legitimacy, jurisdiction, and institutional standing so that SB 29's statutory innovations would hold up in practice (Katten, 2025).

Table 7. Texas HB 40 – Key Provisions and Competitive Effects (June 2025)

Provision	Mechanism	Competitive significance
Removal of Sunset Provisions	Eliminates clauses that would have dissolved non-operating court divisions	Signals lasting institutional commitment beyond momentary political will
Arbitration Enforcement	TBCs may enforce arbitration agreements and review awards regardless of amount	Integrates alternative dispute resolution; broadens the courts' utility
Expanded IP Jurisdiction	Extends TBC reach to trade secrets, licensing, and related IP disputes	Positions the TBCs as a general business forum
Judicial Integration	Embeds the TBCs within the Texas civil-code court structure	Signals permanence rather than experimental status
Clarified Procedures	Directs the Texas Supreme Court to adopt rules for prompt, efficient proceedings	Resolves the jurisdictional ambiguity that had delayed early cases

As Kirkland & Ellis, the largest global law firm, observed within their analysis of HB 40:

> "The passage of HB 40 represents more than a legislative victory – it demonstrates Texas's willingness to adapt and improve its judicial innovations…these expansions and clarifications of business court authority are no coincidence. Texas is locked in fierce competition with Delaware" (Katten, 2025).

Early indicators suggest the legislative interventions have begun to generate institutional traction. Across its five currently active divisions (of eleven total), TBC caseloads have climbed from 56 filings in the courts' first four months to 95 in the first half of 2025: a pace that, if sustained, would carry the system past 200 filings by the end of its second year (Giles et al., 2026). Together, SB 29 and HB 40 positioned the specialized courts as the centerpiece of Texas's bid to become the next hub of corporate governance. Real concerns about TBCs remain. Short 2-year judicial terms, procedural ambiguity, partial jurisdictional operability, and absence of case law precedent raise questions about the court's future (O'Quinn, 2025). Building a jurisprudential record to rival

Delaware's would take years, and until it exists, Texas competes on statutory grounding rather than institutional trust. That dependency is itself the finding: the weaker the court, the harder the legislature must work to compensate, and this inverse relationship between institutional maturity and statutory aggression defines the state's competitive strategy.

6.2 Nevada: The Statutory Challenger

Nevada entered the competition from an entirely different starting position than Texas. Beginning in 1987, it pursued deliberate differentiation from Delaware, constructing what Barzuza characterized as a strategy of "market segmentation" that produced "a shockingly lax corporate law" (Barzuza, 2012). Nevada's secretary of state declared in 1987 that the state would "do as much as [it] can to outdo Delaware," and decades of steadily deregulating corporate liability followed (Barzuza, 2026).

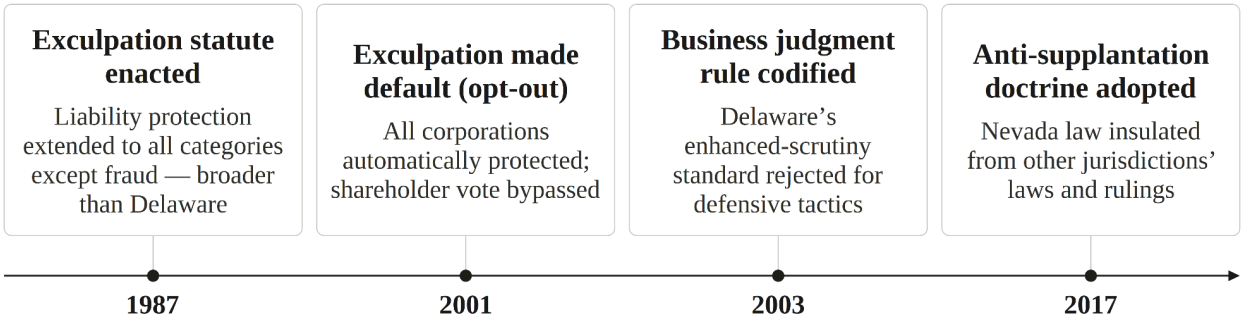


Figure 6. Nevada corporate governance legislation, 1987–2017. Key statutory milestones tracing Nevada's progressive insulation of directors and officers from liability.

Yet, like other would-be challengers, Nevada found its reach suppressed by Delaware's network effects, attracting mainly "small-cap and micro-cap companies" of negligible market weight (Barzuza, 2024). However enticing executives found Nevada's permissive regime, their legal advisors consistently judged reincorporation there irrational. DExit dissolved that constraint. Once the network effects that had marginalized Nevada weakened, its permissive framework moved to

the foreground, offering precisely what corporations sought after the McCormick court: predictability, low liability, and limited litigation. Elite signals flipped toward Nevada; Andreessen Horowitz's exit memo expressly recommended it as a "historically business-friendly state with fair and balanced regulatory policies" (Ramaswamy et al., 2025). Nevada recognized the window of opportunity would not remain. With Texas racing to build out its institutions and Delaware seeking to recapture disaffected corporations, Nevada could not rely on differentiation alone. In May 2025, its legislature passed Assembly Bill 239, a bipartisan measure initiating the most substantial redesign of corporate law in the state's history. Drafted by the Nevada State Bar's Business Law Section, AB 239 was framed as an effort to "maintain Nevada's competitive advantage as a leader in stable, predictable and common-sense corporate law" (Bohn et al., 2025). Its mandate, as Simpson and Thacher LLP concluded, reflected how "competition for incorporation business is intensifying", with "further developments" expected (Blake et al., 2025).

Table 8. Nevada AB 239 – Key Provisions and Competitive Effects (May 2025)

Provision	Mechanism	Competitive significance
Controlling Stockholders' Fiduciary Duties	Clarifies and narrows controller duties and voting rights	Tightens the duty framework & their ability to influence directors and corporate decisions
Exclusive Appraisal Remedy	Appraisal rights are the sole remedy; challenges are barred unless fraudulent or unvoted	Eliminates most litigation avenues against corporations
Jury Trial Waiver	Corporations may require bench trials via articles of incorporation	Replicates Delaware's non-jury advantage of more predictable outcomes
Controlling Stockholder Definition	Redefined exclusively by voting powers to "elect a majority of a corporation's directors"	Narrows ambiguous standards; provides predictable scrutiny
Streamlined Board Merger Approvals	Boards may approve agreements in preliminary or final form as a business judgment	Addresses uncertainty from Sjunde v. Activision Blizzard, which strictly penalized non-compliance

Key Expanding permissive framework Addresses Delaware grievances

An analysis of AB 239's provisions reveals a dual purpose: expanding Nevada's existing low-liability protections while addressing the fresh grievances following the McCormick court decisions. But because much of Delaware's appeal rests on its distinctive judicial infrastructure, Nevada judged that statutory revision alone would not suffice. In the same month, the legislature advanced a bipartisan constitutional amendment, Assembly Joint Resolution 8, to "authorize the establishment of a business court" (Nevada Legislature, 2025). AJR 8's envisioned court system mirrored that of Delaware's: appointed expert jurists, statewide jurisdiction, and specialized procedures echoing the English equity-based system (Girnus, 2026). The state Supreme Court even endorsed the design, noting that "it is judges who will apply these amended statutes in a wide range of familiar and unpredictable circumstances" (Nevada Supreme Court, 2025).

However, Nevada's constitution slows what its legislature can deliver: despite passing both chambers by a supermajority, AJR 8 must be approved again in the 2027 session and then ratified by voters at a general referendum before it can take effect (Girnus, 2026). To bridge the interim, the Nevada Supreme Court separately created temporary business-oriented courts, assigning sitting judges to handle business cases exclusively. Chief Justice Herndon explained this unprecedented move as a response to "the uncertainty associated with waiting years to see if the resolution (AJR 8) gets approved" (Nevada Supreme Court, 2025). In practice, within the Eighth Judicial District, this interim court functions less as a genuine business court than as a rebranded state court marketed to corporate interests: lacking appointed specialists, published case law, or streamlined procedure, it cannot replicate the institutional attributes underpinning the success of Delaware and Texas (State Bar of Nevada, 2026). Nevada's inability to legislate at the pace of its rivals illustrates how a state's own constitutional architecture can constrain its competitive ambitions. Even so, its pre-existing framework and the expansion under AB 239 have measurably

increased reincorporations since DExit. Whether this reflects genuine competitive success or merely the absorption of corporations fleeing Delaware remains, for now, unclear.

7. Stage IV: Defensive Response

The same logic that foresaw competitors like Texas and Nevada exploiting the broken equilibrium applies equally to Delaware's incentive, as incumbent, to defend its position. A new logic of competitive federalism had made clear that states contesting for corporate capital stood to gain by reworking their legal frameworks; facing the greatest pressure to act, Delaware committed to the race. Unlike challengers courting a new revenue stream, Delaware's fiscal stability was already bound to the corporate franchise fees and associated taxes it collected: as noted in Stage I, these supply roughly a third of the state's general-fund revenue (Copeland, 2026). Warning that this income could no longer be assumed, state legislators cautioned that Delaware's corporate base had fallen into the "crosshairs" of rival states "looking to capitalize" (Delaware Online, 2025). As the threat of displacement grew, Delaware's calculus shifted toward actively signaling its continued desirability as home for corporate governance through two accelerated phases of reform. The first phase came in May 2024 in direct response to the Moelis decision.

After the Court of Chancery invalidated common stockholder-agreement provisions, Senate Bill 313 was introduced to amend the DGCL and override the portion of Moelis that had tightened those requirements (Chekroun et al., 2026). SB 313's path was abnormal: rather than proceeding through the customary process, in which the Delaware State Bar's Corporation Law Council vets amendments before reaching the legislature, SB 313 was fast-tracked through an emergency process. Spearheaded by Senate Majority Leader Bryan Townsend, himself a corporate attorney, the bill drew controversy for overriding a sitting court's reasoned decision before it could be

tested on appeal (Howell, 2024). Chancellor McCormick defended the Moelis ruling, cautioning that just because "the decisions at issue run contrary to market practice…the fact that 'everyone is doing it' is not a reason to do something" (McCormick, 2024). Fifty Delaware law professors backed her, arguing "the issues at stake warrant careful judicial review, not hasty legislative action" (Baker, 2024). SB 313 nonetheless passed unanimously. The bill's unconventional origins and rapid implementation signaled a commitment to override institutional norms to remain competitive. Beyond its immediate effect, SB 313 illustrated an instance of a legislature subordinating its judiciary. Despite this, SB 313 answered only a single ruling; the broader threat from Texas, Nevada, and other potential challengers remained. As that pressure mounted over the following year and grievances against the state deepened, Delaware moved to enact Senate Bill 21.

Table 9. Delaware's SB 21 – Key Provisions and Competitive Effects (March 2025)

Provision	Mechanism	Competitive significance
Controlling Stockholder Transactions	Provides "safe harbors" from liability under certain conditions	Relaxes Delaware's dual-cleansing model that invited litigation; competes with Nevada's low scope of liabilities
Controlling Stockholder Definition	Controller redefined: holding a majority voting power, the power to appoint directors, or control at least ⅓ votes	Narrows a broadened definition established in Tornetta v. Musk; no person with less than ⅓ votes is considered a controller
Books and Records Restrictions	Inspectable records limited to specified categories; requires good faith and proper purpose	Narrows pre-litigation discovery; limits the ability for "fishing trips"
Director Independence	Directors presumed independent under NYSE/Nasdaq rules unless particularized facts show otherwise	Raises litigation threshold with a presumption of independence; provides clarity to protect directors' decision-making objectivity
Controller Duty of Care Exculpation	Controllers shielded from duty of care liability; exposure limited to loyalty breaches and self-enrichment	Extends protections directors previously enjoyed; addresses expanded controller liability exposure from Tornetta v. Musk

Grievances key Predictability Liability exposure Excessive litigation

As Delaware Governor Matt Meyer put it, SB 21's comprehensive revision of the DGCL was designed specifically to "reinforce Delaware's reputation for equitable, predictable, and efficient corporate oversight" (Office of the Governor, 2025). SB 21's significance lies in how cleanly it exhibits the feedback effect: each major provision answers specific grievances amplified by the elite signaling in Stage II. As White and Williams LLP observed, the bill's core task, "altering the balance between shareholders and corporations," marks Delaware's full commitment toward the strategy Texas and Nevada already adopted: joining the race to redesign (Martin et al., 2025).

Running on signals, Delaware signed SB 21 a little over a month before both Texas's SB 29 and Nevada's AB 239 were enacted, demonstrating the feedback cycle's anticipatory power. Its passage, like SB 313's, was fiercely contested and bypassed the same deliberative processes. Proponents held that Delaware could not afford its usual deliberation, since timely adoption was needed to "pacify corporate executives who may threaten to…set up legal homes in other states"; on this view, SB 21 merely restored the predictability and litigation environment from which Delaware had long profited (Temple Law School, 2025). Opponents denounced it as the "billionaire's bill", charging that it elevated elite interests over minority protections while unsettling the state's institutional norms (Baker, 2025). Whichever claim is sounder, SB 21 joined SB 313 in "rebuking Delaware's revered judiciary" to signal the state's willingness to match its rivals. Lobbying and Governor Meyer's direct advocacy carried the bill to unanimous passage in the Senate, signed into law roughly a month after its introduction (Martin et al., 2025).

8. A Cycle Renewed

The feedback cycle theorized in the methodology predicts this competition to be self-sustaining: the defensive response of Stage IV would not restore equilibrium but continue to destabilize it.

Determining whether the stages operate as a self-sustaining feedback loop or as a singular disruption that terminates with the incumbent's response requires evidence that the cycle has renewed rather than resolved. The empirical record provides it. The legislative interventions of 2024 and 2025 remade the competitive ecosystem with updated statutory frameworks and reoriented court structures across all states. In the resulting 'Post-Reform' period, which this study dates from June 2025, following the enactment of SB 21, SB 29, and AB 239 (and Texas's HB 40 that same month), the advisory tone of the same firms tracked in Stage II shifted once more: no longer endorsing or warning, but hedging, markedly more ambivalent about how competitive pressures would continue to reshape the disrupted equilibrium.

Table 10. Advisory posture and tone toward Delaware, Post-Reform (May 2025 - Oct 2025)

Firm	Date	Trigger	Advisory posture	Tone
Gibson Dunn	May 2025	Delaware vs. Texas M&A update	Endorsed both states' M&A frameworks; cast Delaware as the "default governing law" against "greater uncertainty" in Texas	Mixed
Sullivan & Cromwell	Jun 2025	Memo on recent changes to U.S. corporate law	Framed the three-way competition for charters as ongoing; backed the changes but urged a "wait-and-see" approach until the reforms are tested	Cautious
Gibson Dunn	Jun 2025	Developments in Texas & Nevada corporate law	Saw no "one-size-fits-all" answer; judged that "Delaware remains the gold-standard, but Texas is expected to close the gaps fast"	Mixed
Cooley	Jun 2025	Venue advisory to pre-IPO companies	Flagged "changing tides" and new competitors that pre-IPO firms might exploit amid the uncertainty; credited SB 21 with "greater clarity"	Hedging
Wilson Sonsini	Oct 2025	Client advisory on recent U.S. corporate-law changes	Acknowledged the new competitors and Delaware's response; saw "market actors … in wait-and-see mode as corporate-law developments further unfold"	Cautious

This ambivalence marks a new phase of elite signaling: evaluative rather than directive, hedged rather than confident. Set against the explicit endorsements of the pre-disruption period and the

pointed warnings that followed DExit, the post-reform advisories signal uncertainty rather than conviction in their assessment of where corporations should incorporate.

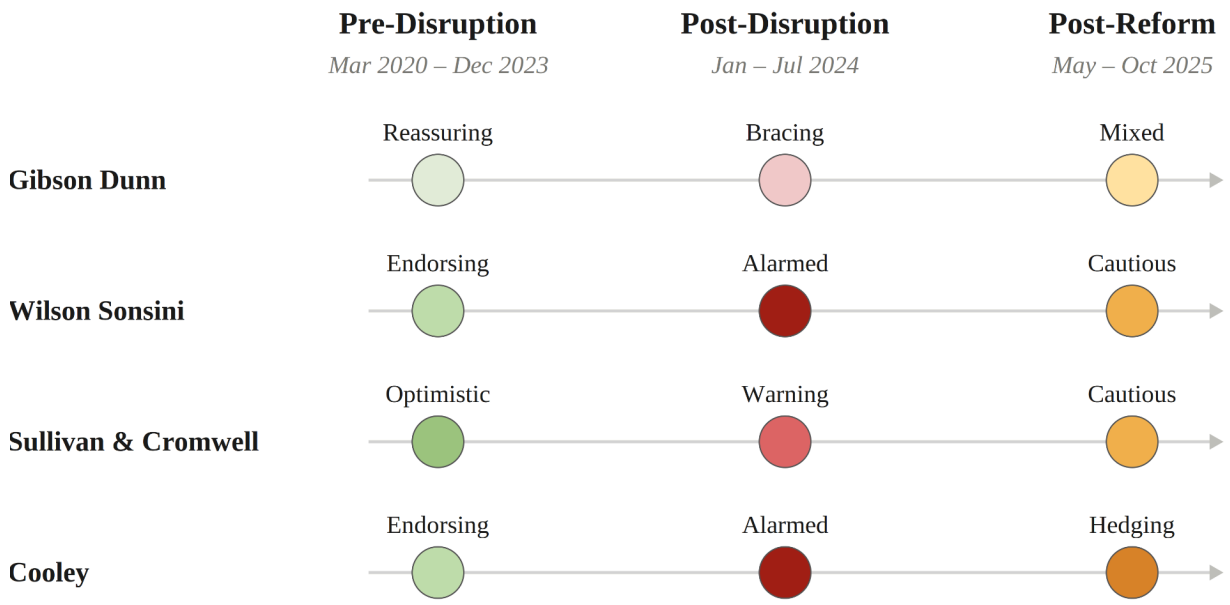


Figure 7. Advisory tone shifts across elite law firms, 2020–2025. Each firm's advisory posture is tracked across three periods: pre-disruption (green), post-disruption (red), and post-reform (amber), with deeper shades marking stronger sentiment.

The uniformity within each phase is as striking as the shifts between them: four of the world's most influential corporate advisory firms, operating independently and advising different clients, reached remarkably similar conclusions at each stage of the cycle. Their post-reform ambivalence, evaluative rather than directive, hedged rather than confident, signals that the competitive landscape remains unsettled and in flux. This sustained uncertainty constitutes a renewed Stage II: a recalibrated signal to corporations and policymakers alike that no state has yet secured a dominant position. This sets the cycle in motion again, forcing each state to revise its competitive calculus:

- Delaware's pre-DExit goodwill has not returned despite its reforms, suggesting that legislative revision alone has been insufficient to restore its standing;

- The uncertainty still surrounding Texas's young courts implies that further intervention may be needed to supply the institutional credibility they yet lack;
- Barred from establishing specialized courts before 2027, Nevada risks assuming that its statutory permissiveness will remain competitive as rivals press their institutional advantages.

Each state's next move, statutory or judicial, will be evaluated against its rivals', generating fresh signals that feed back into the cycle. The evidence confirms that the competitive feedback cycle did not terminate with the incumbent's defensive response but contributed to a new iteration of it. Absent a stabilizing equilibrium, federal intervention, or market correction, the findings suggest this competition will remain self-reinforcing.

9. Comparative Analysis

With the feedback cycle now documented across four stages and its renewal established, the full arc of competition can be examined comparatively. Within roughly 18 months, all three states redesigned both their judicial institutions and statutory frameworks in response to a disruption driven by a shared set of corporate grievances. Traced sequentially, the stages reveal a causal mechanism linking competitive disruptions to institutional reform; read comparatively, they reveal how their diverging approaches converged on similar outcomes. This section develops that finding in two steps, first classifying the strategies by domain, then tracing how competition across two once-separate domains produced a single convergent trajectory.

9.1 Strategic Typology Through Two Domains

What sets the current competition apart from earlier episodes in the American charter market is its simultaneous operation across two domains that had previously been distinct. Prior competition worked almost entirely through statutes: states adjusted their laws to offer more favorable terms, while courts interpreted and applied them. The current cycle collapses that separation. Delaware, Texas, and Nevada have each treated their judicial architectures as competitive instruments that, deployed alongside their statutory frameworks, become inseparable from judging their corporate governance. This coupling feature is the phenomenon's most novel feature: state courts, operating under a shared federal umbrella, are treated as necessary instruments of competitiveness. In this process, the normative barriers that once insulated the judiciary from external pressures (e.g., Weber's legal formalism & Hamilton's separation of powers) are subordinated to a logic that recasts courts as tools of interstate economic competition.

Table 11. Judicial Infrastructure Compared: Delaware, Texas, and Nevada's Business-Focused Courts

Dimension	Delaware Court of Chancery	Texas Business Court	Nevada Eighth Judicial District Court	Proposed Nevada Business Courts
Year established	1792; business focus from the early 1900s	Created 2023; operational Sept 2024	2025; interim, within the existing judiciary	None yet; AJR 8's earliest passage in 2027
Judicial selection	Governor-appointed; Senate approval	Governor-appointed; Senate approval	Elected, then assigned by the chief judge	Governor-appointed; committee approval
Jurisdiction	Statewide	Statewide (5 of 11 divisions active)	Clark County only	Statewide
Jury trials	None — equity court; bench trials only	Guaranteed; SB 29 permits waivers	Guaranteed; AB 239 permits waivers	Guaranteed; AB 239 permits waivers
Written decisions	Yes — extensive published case law	Yes — mandatory (~20 issued)	No — only appellate decisions published	Yes — required under AJR 8

The comparison displays the sharp differences in institutional maturity across the three systems. Delaware's Chancery Court remains the reference model: more than a century of precedent, politically insulated expert jurists, and mandatory bench trials give it a jurisprudential depth no

competitor can yet approach. Yet Delaware emerged from the cycle not with a new judicial organ but with a weakened one. SB 313 and SB 21 overrode Chancery rulings and bypassed the appellate process through which those decisions would ordinarily be tested and signaled a willingness to subordinate judicial independence to competitive pressure. Texas took the opposite path, building credibility from the ground up: its Business Courts mandate written opinions and appoint expert jurists, signaling a commitment to the kind of transparent, pro-business forum Delaware perfected. Nevada's position is bifurcated. Constitutional constraints bar its proposed AJR 8 courts until a 2027 referendum at the earliest, and its interim adjustments to existing courts fall short of genuine institutional reform.

Nonetheless, both Nevada's proposal and Texas's build-out represent deliberate attempts to transplant Delaware's judicial model in the service of economic growth. The speed itself of these forms is unprecedented. Within roughly three months in 2025, all three states enacted major amendments to their corporate codes. Each package was explicitly framed as a competitive response to a disrupted market, and each addressed the same grievances that elite signaling had identified, but with markedly different degrees of accommodation: Delaware recalibrated the contested standards, Texas codified protections against them, and Nevada came close to eliminating them outright. Set against each state’s judicial infrastructure, a compensatory logic emerges where the strength of a state’s specialized courts is inversely related to the reach of its statutes. The weaker the judiciary, the further its legislature must go to attract capital.

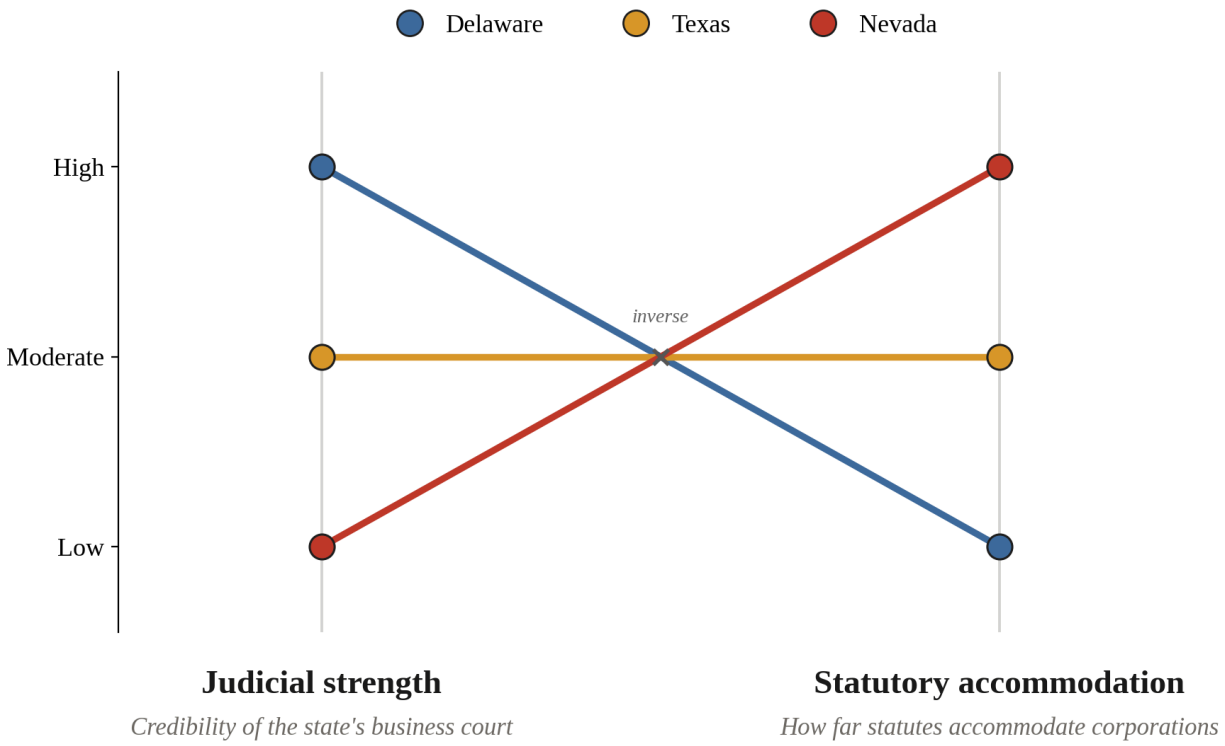


Figure 8. Judicial strength and statutory accommodation, by state. Each state's line connects its judicial institutional strength to its degree of statutory accommodation; the crossing lines show an inverse relationship – weaker courts paired with more permissive statutes.

This inverse relationship reflects a compensatory logic. Delaware, backed by a credible court, needs only recalibrate at the margins in order to retain incorporations, not attract them. Texas legislates more aggressively because its statutes must supply the certainty its young courts cannot yet offer. Nevada, with no permanent specialized court at all, leans hardest of the three, since statute is its only competitive instrument. These strategies suggest that judicial strength and statutory accommodation function as paired instruments calibrated against each other, and thus function as different products aimed at different consumers of the corporate market.

Table 12. Competitive instrument, target market, and logic, by state.

State	Primary instrument	Target market	Competitive logic
Delaware	Judicial credibility	Public companies whose investors expect governance oversight	Deep court ecosystem needs little statutory adjustment; aims to retain existing incorporations rather than chase new ones
Texas	Courts and statutes	Aggrieved corporations seeking credible institutional backing	Statutes supply the certainty its young business courts cannot yet offer
Nevada	Statutory permissiveness	Controller-dominated firms seeking to avoid oversight and litigation costs	With no permanent specialized court, statute becomes the primary competitive instrument

These positions are further conditioned by each state's political economy, institutional history, and regulatory constraints, which shape what it can credibly offer. What the strategic typology cannot fully account for, however, is why states pursuing different strategies follow a common trajectory.

9.2 Convergent Effects

The three states diverged in strategy but converged in substance. Each experimented with distinctive provisions, yet their core reforms increasingly came to mirror one another: not in form, but in the direction they moved.

Table 13. Policy Convergences Across Delaware, Texas, and Nevada

Reform	Delaware	Texas	Nevada
Altered or created specialized business courts	○	●	●
Created or simplified safe harbors for conflicted transactions	●	●	●
Reduced controller liability or fiduciary duties	●	●	●
Restricted shareholder access to corporate records	●	●	○
Narrowed who qualifies as a controlling stockholder	●	●	●
Adopted or expanded bench-trial mechanisms	○	●	●

○ Pre-existing prior to DExit ● Enacted or expanded in response to DExit

Across six dimensions of corporate governance reform, convergence is nearly total. Three were newly enacted across all three states within the same eighteen-month window, while three others, already established in one state, were subsequently adopted by the others. The pattern is consistent in both directions: where a state lacked a provision, it created one, and where a rival already possessed one, it transplanted it. What makes this convergence consequential is that it was unplanned. Each state designed its own approach, anchoring reforms in its existing institutions and distinct fiscal priorities, and none coordinated with or deliberately imitated the others. Yet all three arrived independently at the same destination: reduced accountability, narrowed litigation exposure, and tailored judicial oversight. Without coordination or explicit imitation, Delaware, Texas, and Nevada generated similar institutional incentives. The driving mechanism is not any individual strategy but the competitive feedback cycle itself, which pulls policy into alignment regardless of the path each state takes. This coalescent trajectory supports the idea that interstate competition, once initiated, may compound state decision-making in a shared direction its individual participants neither intend nor fully perceive. The implications for judicial legitimacy, the race-to-the-bottom hypothesis, and competitive federalism theory are taken up in the section that follows.

10. Implications

10.1 Judicial Legitimacy and Independence

The framework established earlier identified judicial independence as a structural precondition for institutional credibility: courts whose authority is perceived as independent of external interests generate the trust on which durable economic confidence rests. The competitive feedback cycle

has strained this precondition through two developments: the reconception of courts as competitive instruments, and the legislative subordination of judicial authority.

10.1.1 Courts as Competitive Instruments

The cycle's most fundamental implication for judicial legitimacy is a shift in what courts are understood to exist for. In its traditional sense, a court's authority derives from its perceived independence and removal from the interests that appear before it. The competitive cycle inverts that premise: across all three states, courts have come to be evaluated not by their impartiality but by their utility to the state's economic ambitions, whether created to attract capital, restructured to retain it, or overridden when their rulings deterred it. This is a change in kind, not degree. Forum shopping once meant litigants choosing among courts taken as fixed; forum creation means redesigning courts as competitive products, and a court conceived as a product is answerable to its market rather than to the law.

10.1.2 Judicial Subordination

This realignment reflects a shifting balance of power between judiciary and legislature. In each state, competitive pressures enticed political agents to overcome longstanding barriers and intervene in courts' operation. Delaware's SB 313 and SB 21 bypassed the customary deliberative process and reversed rulings before appellate review; as Sautter argues, such interventions risk allowing "corporations to gain control over the institutions meant to regulate them" (Sautter, 2025). Texas's statutory aggression compensates for institutional credibility its young courts have not yet earned, creating a self-reinforcing dependency where courts require "special judges... special rules... and advanced technology and additional resources" unavailable in ordinary courts. SB 29 and HB 40 reflect the constant supply of intervention necessary to maintain these courts'

credibility, producing a self-reinforcing dependency: requiring external aid to remain competitive, courts lose the venue to build the independent precedent that would make such support unnecessary. This is the compensation trap, in which statutory intervention and jurisprudential maturity become mutually exclusive, leaving legitimacy permanently derivative of political positioning. Nevada marks the furthest point on this spectrum, as its decades of permissive statutory reform have produced a political culture where both legislative and judicial agents jointly support corporate interests. The Nevada Supreme Court's construction of temporary relief reflects this, and should AJR 8's courts materialize, Nevada's established pattern suggests such statutory compensation would exceed even Texas's. Across all three, the trajectory converges: judicial independence is made increasingly contingent on its compatibility with the state's competitive goals. Independence, integrity, and operational capacity, the foundations of a court's authority, are thus the first casualties of this convergence.

10.2 A Race to the Bottom

The competitive federalism literature has long debated whether interstate competition drives law towards efficiency or degradation – whether capital markets produce a race to the top, disciplining states toward more efficient frameworks, or a race to the bottom that erodes standards. This study's evidence supports the latter, though with an important qualification about how efficiency should be understood. Given how three states independently converged on a shared set of standards, the convergence may look less like degradation than like a market identifying and settling on efficient rules; to race-to-the-top theorists, the reforms simply give corporations what capital markets demand, and the discipline of those markets will in time punish any state that overshoots (Romano, 1993). But that account rests on a specific assumption – that competition operates through statute while impartial courts interpret and apply it. Remove that and Romano's

market-discipline model no longer functions as designed. As judicial institutions themselves have become objects of competitive redesign, a critical corrective element to policing competition loses its grip. Capital markets can price the efficiency of statutes, but cannot calculate the long-term cost of eroding judicial credibility, because that cost is diffuse, deferred, and borne largely by parties without market power. What emerges is a qualitatively different form of competition: one that departs from the efficient equilibrium the race-to-the-top presumes and aligns instead with the "competitive lowering of standards" Justice Brandeis warned of nearly a century ago (Liggett Co. v. Lee, 1933). The convergent effects documented in the comparative analysis bear this out. Three states with different institutional endowments, competitive strategies, and political economies arrived independently at the same destination within eighteen months.

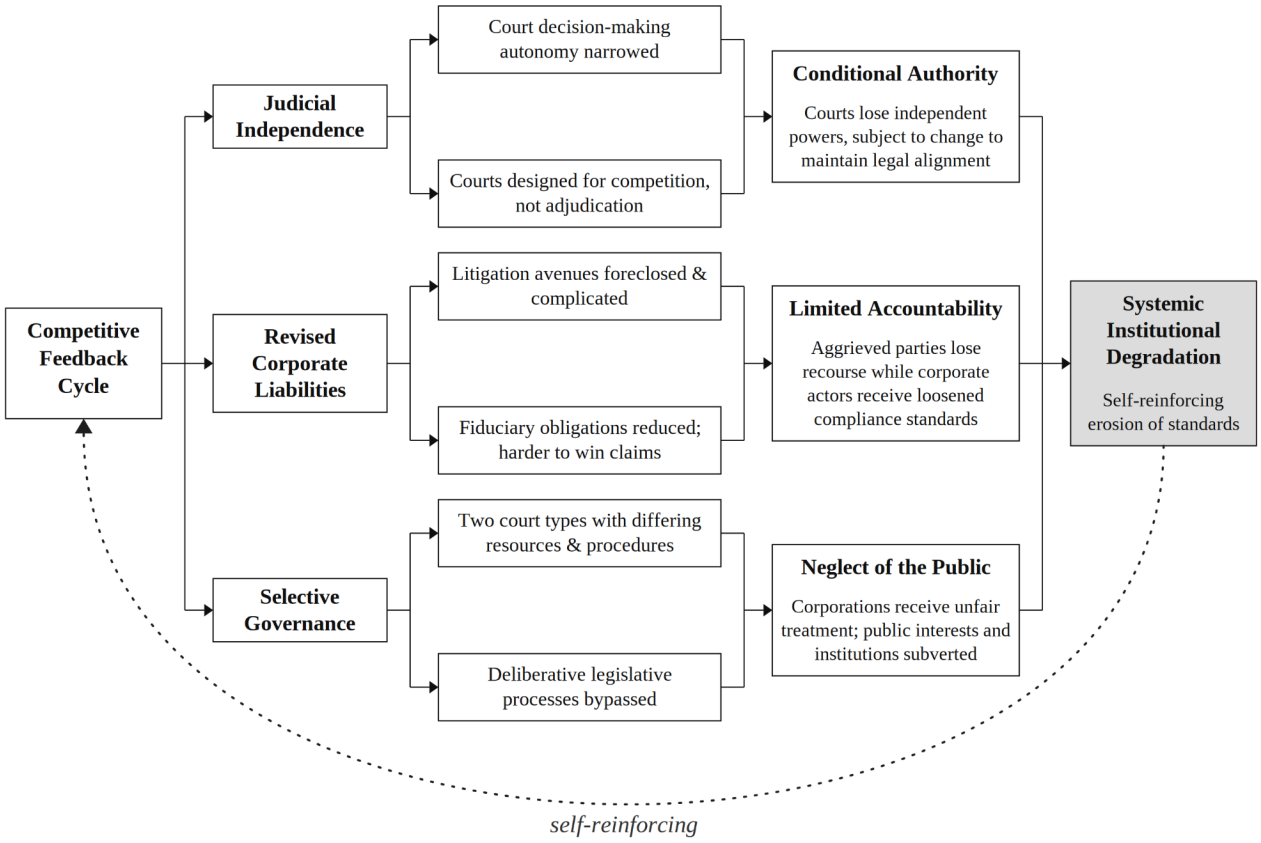


Figure 9. A self-reinforcing race to the bottom across the competitive cycle. The competitive feedback cycle generates consequences that compound and feed back into intensifying the cycle.

The significance lies in the independence of the paths: where states share no plan yet reach the same result, the driver is not any single strategy but the competitive logic they all inhabit. This is what the race-to-the-bottom theory predicts, and it is what the record shows. The costs of this trajectory fall unevenly, and the demonstrated harms must be distinguished from the projected ones. The consequences already visible in statutes (narrowed suit-standing, curtailed court autonomy, etc.) represent only what is evident today; the larger structural risks make the eventual cost far greater than the present record can capture.

In either case, the burden settles most often on those least able to absorb it: minority shareholders, employees, creditors, and litigants without resources – to say nothing of the more diffuse harm the broader public sustains as institutional safeguards erode. Whether this race persists likely turns on the conditions Costa-Font et al. identified: a race-to-the-bottom is contingent on “political incentives and institutional constraints”, not inevitable (Costa-Font et al., 2015). Delaware’s dependence on franchise revenue, Texas's political gamble in economic diversification, and Nevada's decades-long strategy of low-liability differentiation each create conditions in which the political cost of resisting corporate demands exceeds the cost of accommodating them. The incentives are firmly there; and absent countervailing forces, elite signals will continue to dominate and demand a downward trajectory.

10.3 Democratic Accountability and Institutional Trust

The preceding sections traced how competitive pressures catalyzed an interstate race to reorient judicial frameworks and lower public standards. Those reforms were responsive to elite demand, contrary to the race-to-the-top's prediction of broadly beneficial outcomes, and ran counter to the interests of wider state constituencies. This selective responsiveness points to a further

implication: an erosion of democratic accountability in the governance of these institutions. Collectively, these dynamics produce a structure of governance in which the actors with the greatest stake in reducing oversight wield the greatest influence, while those who bear the costs exert little corresponding pressure. Accountability, on any meaningful definition, runs the wrong way. This concern runs institutional. A system grounded in the rule of law depends on its governing actors sustaining the law's general purpose rather than tailoring it to a particular constituency; democratic accountability requires that those actors remain answerable to the full range of interests they represent, not a mobile few (World Justice Project; American Bar Association). Francis Fukuyama's account of political order explains this: institutions retain their legitimacy through a reciprocal expectation that they serve a broad collective; once perceived as answering to narrow interests, the trust that sustains authority is difficult to rebuild (Fukuyama, 2011). The competitive feedback cycle strains this expectation because of the domain it touches. Moreover, its self-reinforcing character sharpens the concern as pressures only compound over time, further tapering responsiveness. Whether this erosion remains confined to corporate governance or bleeds into broader public confidence in the courts is beyond what this study can establish; what it can show is that, within its domain, the institutions in question are becoming measurably less accountable to the constituencies they nominally serve.

11. Competitive Federalism Reconsidered

The three implications examined in the preceding sections – eroded judicial independence, degraded public standards, and diminished democratic accountability – together challenge the premises of competitive federalism as applied to corporate governance. Tiebout held that jurisdictional competition disciplines governments toward policies serving constituent preferences; Hirschman's extension held that a credible exit threat aligns governmental

responsiveness with the interests of mobile actors. Both frameworks rest on an assumption easy to overlook: that the actors whose mobility disciplines a government represent a broad enough cross-section of its constituency that responding to them produces broadly beneficial outcomes. This study's evidence shows that assumption fails. The mobile actors driving state behavior here are not the public but concentrated private interests, whose preferences diverge from those of the constituencies democratic institutions are bound to serve. The discipline still operates, but toward the wrong principals. This failure is a product of the competitive logic itself. The three implications are not separate harms but stages of a single self-reinforcing process, each enabling the next. Once courts are reconceived as competitive instruments, subordinating their independence becomes rational; if reorienting a court attracts capital, overriding it when its rulings deter capital follows by the same logic. This subordination in turn accelerates the race-to-the-bottom as states redesign frameworks at competitive speeds that require bypassing barriers that would otherwise slow them. And since those who deregulate most aggressively draw the most corporate attention, engaging in this race is rationally validated. Each concession alters the competitive landscape in ways that invite the next, so that the output of one stage becomes the input of the following one.

The asymmetry of elite influence sustains this cycle. With both credible exit options and a voice amplified by their economic weight, corporate elites, as Musk's campaigns demonstrated, maintain disproportionate force in shaping the competitive landscape. The constituencies that bear the costs – minority shareholders, employees, creditors, communities – hold neither. Absent a countervailing force of comparable influence, the self-correcting mechanism competitive federalism relies on simply cannot engage; the incentive structure instead rationalizes the continued lowering of standards at the expense of the very constituents democratic governance

exists to serve. This is the structural reason the counterforces invoked in the previous section are absent: the theory presumes a plurality of mobile interests, and the domain supplies only one. The significance extends beyond corporate governance to competitive federalism in the United States more broadly. Interstate competition has long been celebrated as an engine of American innovation through the premise that decentralized experimentation surfaces efficient solutions and only the fittest frameworks will survive. That premise is not so wrong as it is conditional. In domains such as this, competitive federalism's merits do not hold automatically, and the guardrails meant to deter degradation instead rationalize it. Delaware, Texas, and Nevada did not produce the diverse, broadly beneficial innovation the theory anticipates. Their convergence on reduced accountability, narrowed protection, and weakened judicial independence was itself a product of the experimentation the theory celebrates – experimentation that served one constituency at another's expense. The framework's capacity to develop a rich innovative environment need not be discarded; rather, when left unchecked, its operation may make competitive federalism less symbiotic than parasitic.

12. Conclusion

This dissertation sought to explain a new phenomenon existing literature had not adequately captured: the transformation of judicial institutions themselves into instruments of interstate economic competition. Tracing a four-stage feedback cycle across Delaware, Texas, and Nevada – from the McCormick court's disruption of Delaware's equilibrium, through the elite signaling of DExit, to the challenger reforms of Texas and Nevada and Delaware's defensive response – it has shown that the contemporary charter competition operates across two once-separate domains at once, coupling statutory reform with the redesign of the courts. The comparison yielded a

consistent finding: three states pursuing divergent strategies, conditioned by a compensatory logic in which statutory aggression tracks judicial weakness, nonetheless converged on a shared destination of reduced accountability, narrowed liability, and judicial oversight tailored to corporate demand. That convergence, arrived at without coordination, points to the competitive cycle itself as the mechanism driving reform, and breaks the self-correcting premise on which competitive-federalism theory rests. These conclusions carry the limits of their design. The study examines a small universe of cases in the midst of an unresolved contest; its central instrument, the tracking of elite advisory tone, is interpretive; and the phenomenon continues to move, as the reversal of one of the rulings examined here already illustrates. The account offered is therefore explanatory rather than predictive: a reconstruction of how this competition began and sustains itself.

Within those limits, the findings are firm enough to warrant a closing caution. Competitive federalism, applied to judicial design and legal institutions, demands an analytical approach that does not presume a natural course correction. The consequences traced here are not anomalies but predictable outputs of a self-reinforcing logic with no internal stopping point. The immediate costs are already visible; the deeper consequences for democratic accountability and institutional trust are only beginning to register. Whether American federalism can sustain the legitimacy of its institutions under the competitive logic documented here is a question this study raises but cannot resolve – one that continuation of the race, in the same or analogous domains, will ultimately answer.

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